

stocks would not be issued. Capital, instead of being asked to assume a partnership risk, would be granted a contract, specifying the return to be paid on the investment over a period of time and the date when the capital would be returned out of the depreciation reserve. There would be little or no need for common stocks.

The very reason for the existence of common stocks is that nobody knows or is expected to know what the dividends will total in the future. To define the value of a stock, therefore, as the sum of its future dividends, discounted to the interest rate, boils down to this: that the value of a common stock is a mystery.

It is not necessary to give up the search, however, even if no perfectly satisfactory definition of value is available, for it may be found possible to determine value within certain limits.

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*One cannot say that a stock's value is the equivalent of its price. If that were so, it would be a waste of time to discuss value at all.*

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Up to this point it has been reasoned that value is something different from price and that it cannot be defined. Value is something that exists in the minds of people. But, since the common conception of value is expressed in price at a given moment, we seem to be forced back to the premise that price and value are the same thing, since they are both the expression of value as it exists in the minds of the buyers and sellers who participate in a free market.

The reasoning is not perfectly circular though. There is a break in the circle which offers an opportunity for evolving a practical standard of value. That break lies in this fact: that people—the very same people—do not put the same price tag on a stock at all times. If the market price of General Motors is 30 in March of 1938 and 30 is its value, in the